

PB23 Contract 01 - ai vendor due diligence and performance evaluation playbook Demo Agreement

This synthetic agreement is between Siemens Legal Operations and Ai Vendors Counterparty 01. It is generated for Lou contract review demos and is not legal advice.

1. Commercial Background.

The parties are entering a transaction governed by playbook PB23: ai vendor due diligence and performance evaluation playbook. The commercial purpose is: A comprehensive guide for conducting thorough due diligence on AI vendors, including performance metrics, ethical considerations, and contractual obligations.

2. AI vendor compliance with data protection regulations.

Preferred drafting position: Vendor certifies compliance with GDPR and CCPA. The parties shall keep records showing compliance, notify each other of material deviations, and escalate unresolved issues to legal operations within five business days.

3. AI vendor transparency in model training data.

Preferred drafting position: Vendor provides access to training data sources. The parties shall keep records showing compliance, notify each other of material deviations, and escalate unresolved issues to legal operations within five business days.

4. AI vendor performance benchmarking standards.

Fallback drafting position: Vendor aligns with client-defined benchmarks. The parties shall keep records showing compliance, notify each other of material deviations, and escalate unresolved issues to legal operations within five business days.

5. AI vendor contractual liability for model errors.

Escalation issue: Vendor excludes liability for any model errors. The parties shall keep records showing compliance, notify each other of material deviations, and escalate unresolved issues to legal operations within five business days.

6. AI vendor access to model architecture and code.

Preferred drafting position: Vendor provides full access to model code. The parties shall keep records showing compliance, notify each other of material deviations, and escalate unresolved issues to legal operations within five business days.

7. AI vendor response time for incident reporting.

Preferred drafting position: Vendor provides real-time incident notifications. The parties shall keep records showing compliance, notify each other of material deviations, and escalate unresolved issues to legal operations within five business days.

8. AI vendor third-party vendor management.

Fallback drafting position: Vendor has third-party management policies. The parties shall keep records showing compliance, notify each other of material deviations, and escalate unresolved issues to legal operations within five business days.

9. AI vendor intellectual property ownership.

Preferred drafting position: Vendor assigns all IP rights to client. The parties shall keep records showing compliance, notify each other of material deviations, and escalate unresolved issues to legal operations within five business days.

10. Operational Exception.

The supplier may use experimental workflow tooling for internal reporting without prior written approval, provided no regulated data is exported. This clause is intentionally outside some playbook coverage so Lou can surface unmapped review findings.

11. Signatures.

The parties agree to the terms above through duly authorized representatives.